

CHAPTER 15

Delegated Investing

Chapter Summary

What is best for the asset owner (principal) is usually not best for the delegated fund manager (agent). Principal-agent conflicts can be mitigated by appropriate governance structures and contracts. Effective boards can advocate for principals' interests. Boards should build processes for investment decisions rather than making those decisions.

1. New York State Common Retirement Fund

The New York State Common Retirement Fund (NYSCRF) had \$140.6 billion in assets and more than a million participants in 2011, making it one of the largest pension plans in the world.¹ This large pile of assets is controlled by just one man—the state comptroller, an elected official who serves as the sole trustee.

Over the years, many had tried to reform the governance of New York's pension system, but despite repeated scandals, all such attempts failed. All that power vested in one person is an invitation for trouble, and that's just what it has produced over the decades. Edward Regan, for example, was comptroller from 1979 to 1993 and was investigated in 1989 by the New York Commission on Government Integrity for directing state business to investment banks and lawyers who had donated to his political campaign. H. Carl McCall served as comptroller from 1993 to 2002 and came under fire for writing to companies in which the pension fund had invested, asking them to consider the resumes of his friends and family members. He even used state letterhead. McCall also was accused of directing pension fund legal business toward campaign contributors. McCall's successor, Alan Hevesi, was forced to resign in 2006, eventually pleading guilty to accepting

¹This example is based on the case "Who Watches the Watchman? New York State Common Retirement Fund," Columbia CaseWorks ID#110307.